

Patent Attorney Explanation: Payroll-Integrated Loan Repayment System

Currently, **no company has developed a comprehensive payroll-integrated lending platform** that enables lenders to **automate loan repayments directly from wages before they reach a borrower's bank account**. While wage garnishment exists for court-ordered debts, there is **no technology that allows voluntary, automated loan repayments through payroll deductions**—a critical gap in the lending industry.

We seek to be the **first company to develop and patent this system**, ensuring **exclusive rights** to this technology and protecting ourselves from future competitors. Our goal is to create an **industry-standard infrastructure** that enables **lenders of all types (online lenders, auto loans, mortgage lenders, payday lenders, personal loans, business loans, student loans, etc.) to collect repayments directly through payroll providers like ADP, Paychex, Gusto, and Workday**.

This system can be used for **almost every type of loan**, making it a **universal lending infrastructure** that **banks, credit unions, fintech lenders, and businesses can integrate into their lending processes**.

◆ How Our Software Works (Step-by-Step Process)

Our technology is designed to be **flexible**, working within the **terms of different loan types**, including **payment amounts, term lengths, payment frequencies, and interest structures**.

Step 1: Borrower Takes Out a Loan

- A borrower **applies for a loan** from a lender (online lender, auto finance company, mortgage lender, payday lender, student loan provider, business lender, etc.).
- At checkout, they **choose "Payroll-Deducted Loan Repayment"** instead of ACH, credit cards, or traditional repayment methods.

Step 2: Our System Links to Payroll Provider

- Our **proprietary API** connects with the borrower's employer's **payroll system** (via ADP, Paychex, Gusto, Workday, etc.).
- Borrower **authorizes payroll deductions** as per the terms of the loan agreement.
- Lender is **immediately notified that payroll deductions are scheduled**, securing repayment.

Step 3: Automatic Loan Repayments Based on Loan Terms

- Our **technology adjusts based on the loan's structure**, including:
 - ✓ **Payment Amounts:** Our system **automatically calculates the correct deduction** per the lender's agreed terms.
 - ✓ **Term Length:** If it's a **6-month, 12-month, or 30-year mortgage loan**, our system ensures deductions **align with loan schedules**.
 - ✓ **Payment Frequency:** Some loans require **biweekly, monthly, or lump-sum payments**—our system **syncs with payroll to match these terms**.
 - ✓ **Loan Modifications:** If a borrower **refinances, defers, or adjusts loan terms**,

our system **automatically updates the deduction structure** to reflect changes.

- On payday, **before wages are deposited into the borrower's bank account**, our system **automatically deducts the loan repayment** and **sends it to the lender**.

- Borrowers **see the deduction on their pay stub**, just like taxes, health insurance, or 401(k) contributions.

- If the borrower **switches jobs**, our system **detects the change and reconnects with the new payroll provider**, ensuring uninterrupted loan payments.

Step 4: Compliance & Borrower Protection

- Our **legal compliance engine** ensures deductions **do not exceed state and federal wage garnishment limits**, protecting borrowers.

- Borrowers can **monitor their payroll-deducted loan payments** through a **dashboard**, showing **remaining balances, payment schedules, and job status tracking**.

◆ How It Works for Different Types of Loans

This system is **universal** and can work for almost every type of loan. Below are **four examples** of how different lenders would benefit from integrating our system.

1 Online Loans (BNPL, Personal Loans, Fintech Lenders)

💡 **Problem:**

Buy Now, Pay Later (BNPL) lenders like Klarna and Affirm rely on **credit cards or bank payments**, which often **fail** due to overdrafts or insufficient funds, leading to **high default rates**.

💡 **Solution with Our Software:**

- A borrower takes out a **\$1,500 BNPL loan** and selects **Payroll-Linked Repayments**.
- Our system **automates paycheck deductions** for the next six months.
- Every payday, a **portion of their paycheck** is deducted **before it reaches their bank**, guaranteeing repayment.

◆ Why This Is a Game-Changer:

✓ BNPL lenders **reduce default rates** and approve more borrowers.

✓ Borrowers **avoid late fees or missed payments**.

✓ Payroll providers **generate new revenue by enabling financial wellness features**.

2 Auto Loans (Car Dealership & Auto Finance Loans)

💡 **Problem:**

Car lenders struggle with **high delinquency rates**, leading to **repossessions and financial losses**.

💡 **Solution with Our Software:**

- A borrower **finances a \$35,000 vehicle** through dealership financing.
- Our system **links their payroll to the auto lender** and **automatically deducts car loan payments** every two weeks.

◆ Why This Is a Game-Changer:

- ✓ Car buyers qualify for **better financing** without needing a high credit score.
- ✓ Auto lenders reduce **loan defaults** and repossessions.

3 Mortgage Loans (Home Loans & Refinancing)

💡 Problem:

Mortgage lenders experience **high foreclosure rates** due to missed payments.

💡 Solution with Our Software:

- A borrower applies for a **\$500,000 mortgage** and selects **Payroll-Deducted Mortgage Payments**.
- Our system **syncs with their payroll provider** and **automatically deducts mortgage payments from wages** before deposit.

◆ Why This Is a Game-Changer:

- ✓ Banks & mortgage lenders reduce **foreclosure rates**.
- ✓ Borrowers avoid **missed payments & foreclosure risks**.

4 Business Loans & Cash Advances

💡 Problem:

Business loans and merchant cash advances **carry high risk** since repayments depend on revenue fluctuations.

💡 Solution with Our Software:

- Small businesses apply for **payroll-linked business loans**, where repayments are **deducted from payroll before employee wages are disbursed**.

◆ Why This Is a Game-Changer:

- ✓ Business lenders get **predictable repayments**.
- ✓ Small businesses avoid **cash flow issues by automating loan deductions**.

◆ How We Monetize This Business

To scale into a **billion-dollar company**, our revenue model is designed for **high volume, high margin, and global scalability**.

1 **Transaction Fees** – Charge lenders **1%–2% per payroll-deducted transaction** (potentially generating **\$7.5B+ annually at scale**).

2 **Lender SaaS Subscriptions** – Charge lenders a **monthly subscription fee (\$10K–\$1M/year per institution)**.

3 **Payroll Provider Revenue Sharing** – Payroll companies receive a **cut of each transaction**, ensuring long-term partnerships.

4 **Enterprise Licensing for Banks** – Major banks pay **\$10M+ annually** to white-label our system.

5 **Data Monetization** – Offer **premium payroll-driven risk assessments** to lenders.

◆ Why This Needs Patent Protection

Since **no one has built this**, we need patents to protect:

- ✓ The **API system that links lenders & payroll**.

- ✓ The payroll-deducted repayment methodology.
- ✓ The compliance engine ensuring wage laws are followed.
- ✓ The automated job-switch detection system.

We seek **patent protection** to ensure that **we control this technology before competitors emerge**